

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 18 : BORROWINGS

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Non-Current		
Term Loans	—	—
Other Loans	—	—
Total	—	—
CLASSIFICATION		
Secured	—	—
Unsecured	—	—
Current		
From Banks		
– Bank Overdrafts	—	—
– Other Loans from Bank	—	—
From Other Parties	55.00	50.00
Total	55.00	50.00
CLASSIFICATION		
Secured	55.00	50.00
Unsecured	—	—

Loan Guaranteed by Directors & Others

Particulars of Loan	Amount in Rs. crores	Nature of Guarantee
N.A.	NIL	NA

CASH CREDIT FACILITY

The Company is having Cash Credit facility of Rs. 55 Cr. from Consortium of bankers (having State Bank of India as the lead Bank) through its holding Company CIL. The said facilities is collaterally secured by creating hypothecation charge over the current assets comprising of Book Debts and Stock of Raw materials, Semi-finished and finished goods, Stores and Spares not relating to Plant & Equipment (Consumable Stores & Spares) to the extent of Rs. 83.00 Cr.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 19 : TRADE PAYABLES

(Rs. in Crores)

	As at 31.03.2021	As at 31.03.2020
Current		
Micro, Small and Medium Enterprises	—	0.46
Other than Micro, Small and Medium Enterprises	1,367.47	1,197.45
TOTAL	1,367.47	1,197.91

CLASSIFICATION

Secured	—	—
Unsecured	1,367.47	1,197.91

Trade Payables for Micro, Small and Medium Enterprises

Principal & Interest amount remaining unpaid but not due as at year end	NIL	NIL
Interest paid by the company in terms of Section 16 of Micro, Small & Medium Enterprises Development Act, 2006 along with the amount of the payment made to the supplier beyond the appointed date during the year	NIL	NIL
Interest Due and payable for the year of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under Micro, Small & Medium Enterprises Development Act, 2006	NIL	NIL
Interest accrued but remaining unpaid as at year end	NIL	NIL
Further Interest remaining due and payable even in the succeeding years, until such date when interest dues as above are actually paid to the small enterprises	NIL	NIL



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 20 : OTHER FINANCIAL LIABILITIES

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Non Current		
Security Deposits	72.66	69.94
Earnest Money	5.44	5.35
Others	6.30	5.92
TOTAL	84.40	81.21
Current		
Current Account with Holding Company	140.15	17.68
Current Maturities of Long-term debt	—	—
Unpaid dividends	—	—
Security Deposits	141.31	175.59
Payable for Capital Expenditure*	402.33	142.76
Salary Wages and Allowances	341.37	358.88
Earnest Money	104.88	99.91
Others	3.01	3.27
TOTAL	1,133.05	798.09

* Liability of Rs. 778.62 Cr. against Land Compensation is netted off with advance of Rs. 550.00 Cr.

**CENTRAL COALFIELDS LIMITED**

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021**NOTE 21 : PROVISIONS**

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Non Current		
Employee Benefits		
Gratuity	917.80	670.34
Leave Encashment	415.30	269.84
Other Employee Benefits	222.04	194.72
	1,555.14	1,134.90
Site Restoration/Mine Closure	924.17	1,085.00
Stripping Activity Adjustment	2,262.19	1,896.32
Others	—	—
TOTAL	4,741.50	4,116.22
Current		
Employee Benefits		
Gratuity	353.59	380.47
Leave Encashment	43.35	39.38
Ex- Gratia	244.13	236.72
Performance Related Pay	131.90	196.52
Other Employee Benefits	61.73	89.21
NCWA-X	—	—
Executive Pay Revision	—	—
	834.70	942.30
Site Restoration/Mine Closure	—	—
Others	—	—
TOTAL	834.70	942.30

Note :**1. Reconciliation of Relamation of Land/ Site restoraion /Mine Closure :**

Gross value of site restoration Asset as on 01.04.2020/01.04.2019	472.63	472.63
Add: Unwinding of Provision charged (incl. Capitalised) Upto 31.03.2020/31.03.2019	612.37	614.63
Add: Unwinding of Provision charged (incl. Capitalised) during the Year	78.91	75.09
Less: Mine Closure Provision withdrawn during the Year	239.74	77.35
Mine Closure Provision as on 31.03.2021/31.03.2020	924.17	1,085.00

- Provision for Ex-Gratia for Non-Executive has been made proportionately based on payment made for Rs. 68,500/- for 2019-20.
- Leave Encashment Liabilities is netted off of Rs. 128.06 Cr., deposited with LIC against the Actuarial Liabilities.
- Pursuant to the guidelines received from Ministry of Coal, Government of India, in connection to Mine Closure Plan, provision for Mine Closure Expenses is made in the accounts based on the technical assessment of CMPDIL, a subsidiary of Coal India Limited. The liability for such expenses as estimated by CMPDIL of each mine has been discounted @ 8% (i.e. G-Sec rate) and the same is capitalised to arrive at the Mine Closure Liability as on first year of making such provision. Thereafter, the provision is re-estimated in subsequent years by unwinding the discount to arrive at the provision as on 31.03.2021. Deposit in Escrow A/c is Rs. 1,250.53 Cr. (P.Y. Rs.1,285.68 Crs.) including interest of Rs. 365.52 Cr. (P.Y. Rs. 321.80 Crs.) against the Mine Closure Provision of Rs. 924.17 Crs. (P.Y. Rs.1,085.00 Crs.).



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 22 : OTHER NON CURRENT LIABILITIES

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Shifting & Rehabilitation Fund	—	—
Deferred Income*	537.33	578.07
Total	537.33	578.07

* Grant of Rs. 605.05 Crore relates to construction of Rail Line/Rail corridor and Rs. 4.29 Crore relates to strengthening of Road. Useful life of Rail corridor is 15 Years and Road is 10 Years. Considering the useful life of the assets an amount of Rs. 40.74 Crore has been recognised as income in the Statement of Profit and Loss During the year.

NOTE 23 : OTHER CURRENT LIABILITIES

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Statutory Dues	925.28	768.32
Advance for Coal Import	—	—
Advance from customers / others	1,965.88	1,457.60
Cess Equalization Account	—	—
Other Liabilities	261.84	199.30
TOTAL	3,153.00	2,425.22



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 24 : REVENUE FROM OPERATIONS

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
A. Sales of Coal	15,900.51	16,768.33
Less : Other Statutory Levies	5,126.19	5,125.69
Sale of Coal (Net) (A)	10,774.32	11,642.64
B. Other Operating Revenue		
Loading and transportation charges	697.44	627.26
Less : Goods and Service Tax	33.21	29.87
Evacuation facility Charges	342.66	357.72
Less : Goods and Service Tax	16.32	17.03
Other Operating Revenue (Net) (B)	990.57	938.08
Revenue from Operations (A+B)	11,764.89	12,580.72

Refer point no 6 (p) of Note 38 for Disaggregated Revenue Information.

Sale of Coal has been increased by estimated Provision for Coal Quality Variance (net) withdrawn for results awaited from referee/third party sampler amounting to Rs. 318.33 Cr. (P.Y. Rs. 41.04 Cr. provided)

NOTE 25 : OTHER INCOME

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Interest Income*	80.89	145.36
Dividend Income	0.01	3.15
Other Non-Operating Income		
Apex charges	—	—
Profit on Sale of Assets	—	—
Gain on Foreign exchange Transactions	—	—
Exchange Rate Variance	—	—
Lease Rent	4.11	4.09
Liability / Provision Write Backs	108.53	333.17
Fair Value Changes (Net)	—	—
Miscellaneous Income	116.60	122.96
Total	310.14	608.73

* Interest on income includes interest on Escrow Account of Rs. 47.62 Cr. (P.Y. Rs. 75.86 Cr.) including accrued interest of Rs. 6.68 Cr. (P.Y. Rs. 5.81 Cr.) (Refer Note -21)



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 26 : COST OF MATERIALS CONSUMED

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Explosives	170.98	188.07
Timber	0.14	0.29
Oil & Lubricants	350.62	341.94
HEMM Spares	161.35	176.33
Other Consumable Stores & Spares	47.30	56.31
Total	730.39	762.94

NOTE 27 : CHANGES IN INVENTORIES OF FINISHED
GOODS, WORK IN PROGRESS AND STOCK IN TRADE

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
A Change in Inventory of Coal		
Opening Stock of Coal	1,103.27	1,229.85
Closing Stock of Coal	1,163.03	1,103.27
	(59.76)	126.58
B Change in Inventory of Workshop made finished goods ,WIP and Press Jobs		
Opening Stock of Workshop made finished goods, WIP and Press Jobs	4.29	4.08
Closing Stock of Workshop made finished goods and WIP and Press Jobs	1.96	4.29
	2.33	(0.21)
Change in Inventory of Stock in trade (A+B) { Decretion / (Accretion) }	(57.43)	126.37

NOTE 28 : EMPLOYEE BENEFIT EXPENSE

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Salary and Wages (incl. Allowances and Bonus etc.)	3,863.35	3,866.92
Contribution to P.F. & Other Funds	1,191.41	1,171.53
Staff welfare Expenses	217.37	221.85
Total	5,272.13	5,260.30



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 29 : CORPORATE SOCIAL RESPONSIBILITY EXPENSES

(Rs. in Crores)

	For the Year ended 31.03.2021	For the Year ended 31.03.2020
CSR Expenses	46.46	52.89
Total	46.46	52.89

CSR Policy framed by Coal India Ltd. Incorporated the features of the Companies Act, 2013 and other relevant notifications. The fund for CSR, 2% of the average net profit for the three immediate preceding financial years or Rs.2.00 per tonne of coal production of previous year, whichever is higher, comes to Rs. 46.46 Crs. (P.Y. Rs. 42.73 Crs.).

A. Activity wise break-up of CRS Expenses:

Eradicating hunger, poverty and malnutrition	15.72	0.02
Promoting education, including special education and employment enhancing vocation skills	3.00	3.99
Environmental sustainability	2.14	0.57
Training to promote rural sports, nationally recognised sports, paralympic sports and olympic sports	7.41	15.13
Contributions to Universities and Research Institutes	0.54	—
Rural development projects	0.38	1.62
Slum area development	0.01	0.01
Drinking Water	3.82	5.76
Health care	21.94	7.15
Sanitation	1.47	18.23
Welfare of Differently abled	0.09	0.40
Welfare of senior citizen	0.03	—
Others	0.05	0.01
Total	56.60	52.89

B. CSR Expenditure Break-up (Rs. in Crores)

(Rs. in Crores)

Particulars	In Cash	Yet to be paid in cash	Total
(a) Amount Required to be spent during the year			46.46
(b) Amount approved by the Board to be spent during the year			46.46
(c) Amount spent during the year on:			
(i) Construction/acquisition of any assets	5.19	1.25	6.44
(ii) On purpose other than (i) above	48.80	1.36	50.16
Total	53.99	2.61	56.60

**C. Unspent amount Other than ongoing Project [Section 135(5)]**

(Rs. in Crores)

	Opening Balance	Amount deposited in Specified Fund of Sch. VII within 6 months	Amount required to be spent during the year	Amount spent during the year	Closing Balance
Unspent amount Other than ongoing Project	—	—	—	—	—

D. Excess amount spent [Section 135(5)]

(Rs. in Crores)

Financial Year	Opening Balance	Amount Required to be spent during the year	Amount spent during the year	Closing Balance
2020-21	—	46.46	56.60	10.14

E. Ongoing Project [Section 135(6)]

(Rs. in Crores)

Financial Year	Opening Balance		Amount required to be spent during the year	Amount spent during the year		Closing Balance	
	With Company	In separate CSR Unspent A/c		From Company's bank A/C	From Separate CSR Unspent A/C	with Company	In Separate CSR Unspent A/C
	—	—	—	—	—	—	—

**CENTRAL COALFIELDS LIMITED**

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021**NOTE 30 : REPAIRS**

		(Rs. in Crores)
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Building	153.55	196.80
Plant & Machinery*	110.47	128.30
Others	23.89	21.99
Total	287.91	347.09

* Netted off with workshop Debit of Rs. 182.96 Crs. (P.Y. Rs. 172.00 Crs.).

NOTE 31 : CONTRACTUAL EXPENSES

		(Rs. in Crores)
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Transportation Charges	552.92	347.90
Wagon Loading	41.18	30.69
Hiring of Plant and Equipments	927.21	1,067.96
Other Contractual Work	116.80	157.49
Total	1,638.11	1,604.04

NOTE 32 : FINANCE COSTS

		(Rs. in Crores)
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Borrowings	4.98	—
Unwinding of discounts	78.91	75.09
Others	0.38	0.62
Total	84.27	75.71





NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 33 : PROVISIONS

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Allowance/Provision made for		
Doubtful debts	4.88	—
Doubtful Advances & Claims	5.40	7.52
Stores & Spares	2.65	—
Others (Prov. on CWIP)	0.67	1.46
Total (A)	13.60	8.98

NOTE 34 : WRITE OFF (Net of Provisions)

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Doubtful debts	—	27.90
Less :- Provided earlier	—	—
	—	27.90
Doubtful advances	—	—
Less :- Provided earlier	—	—
Total	—	27.90

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021****NOTE 35 : OTHER EXPENSES**

(Rs. in Crores)

	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Travelling expenses	21.26	32.55
Training Expenses	11.09	9.70
Telephone & Postage	6.77	6.07
Advertisement & Publicity	1.90	2.24
Freight Charges	—	—
Demurrage	21.20	66.63
Security Expenses	285.87	219.18
Service Charges of CIL	62.59	66.89
Hire Charges	55.90	61.28
CMPDI Charges	74.54	66.96
Legal Expenses	1.76	8.08
Consultancy Charges	1.49	0.82
Under Loading Charges	154.28	165.34
Loss on Sale/Discard/Surveyed off Assets	1.52	3.05
Auditor's Remuneration & Expenses		
For Audit Fees	0.37	0.21
For Taxation Matters	—	—
For Other Services	0.23	0.23
For Reimbursement of Exps.	0.19	0.09
Internal & Other Audit Expenses	3.15	3.21
Rehabilitation Charges	39.20	40.30
Rent	0.57	0.25
Rates & Taxes	152.58	248.22
Insurance	0.71	0.76
Loss on Exchange rate variance	—	—
Rescue/Safety Expenses	2.49	2.72
Dead Rent/Surface Rent	0.15	0.29
Siding Maintenance Charges	22.83	10.68
R & D expenses	—	—
Environmental & Tree Plantation Expenses	6.41	2.86
Expenses on Buyback of shares	—	—
Miscellaneous expenses	59.09	72.47
Total	988.14	1,091.08

1. Rehabilitation Charges as per the directives of Ministry of Coal, Rs. 39.20 Cr. (P.Y. Rs. 40.30 Cr.) is debited on the basis of debit memo received from CIL.
2. Service Charges amounting to Rs. 62.59 Cr. (P.Y. Rs. 66.89 Cr.) levied by CIL, the Holding Company @ Rs. 10 per tonne of coal produced towards rendering various services like procurement, marketing, Corporate Service etc. based on debit memo received from CIL.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 36 : TAX EXPENSE

		(Rs. in Crores)
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Current Year	523.32	889.75
Deferred tax	169.30	195.65
MAT Credit Entitlement	—	—
Earlier Years	0.16	—
Total	692.78	1,085.40

Reconciliation of Tax Expenses and Accounting profit multiplied by India's domestic Tax rate

Profit before Tax	1,915.35	2,934.49
Tax using the Company's domestic tax rate of 25.168% (P.Y. 34.944%)	482.23	738.55
Tax effect of:		
Non-deductible Tax Expenses	41.09	152.00
Tax-exempt Income	—	(0.80)
Adjustment in respect of current Income tax of Previous Year	—	—
Income Tax Expenses reported in Statement of Profit & Loss	523.32	889.75
Effective Income Tax Rate	27.32 %	30.32 %

Deferred Tax Assets/ (Liability)

Deferred Tax Liability :		
Related to Fixed Assets	92.42	18.04
Others	—	—
Total Deferred Tax Liability	92.42	18.04
Deferred Tax Assets:		
Provision for Doubtful Advances, Claims & Debts	213.32	290.85
Provision for Employee Benefits	438.39	465.63
Others	114.85	105.00
Total Deferred Tax Assets	766.56	861.48
Net Deferred Tax Assets/(Deferred Tax Liability)	674.14	843.44



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 37 : OTHER COMPREHENSIVE INCOME

	(Rs. in Crores)	
	For the Year ended 31.03.2021	For the Year ended 31.03.2020
(A) Items that will not be reclassified to profit or loss		
Remeasurement of defined benefit plans	(85.90)	(326.38)
Total (A)	(85.90)	(326.38)
(B) Income tax relating to items that will not be reclassified to profit or loss		
Remeasurement of defined benefit plans	(21.62)	(82.14)
Total (B)	(21.62)	(82.14)
Total [C = A – B]	(64.28)	(244.24)

NOTE 38

ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

1. FAIR VALUE MEASUREMENT

(a) Financial Instruments by Category

(Rs. in Crores)

	31st March 2021		31st March 2020	
	FVTPL	Amortised cost	FVTPL	Amortised cost
Financial Assets				
Investments :	—	—	—	—
Preference Shares	—	—	—	—
– Equity Component	—	—	—	—
– Debt Component	—	—	—	—
Mutual Fund/ICD	—	—	0.48	—
Other Investments	—	—	—	—
Loans	—	0.49	—	0.55
Deposits & receivable	—	1,507.23	—	1,545.00
Trade receivables	—	3,402.53	—	2,492.11
Cash & cash equivalents	—	256.04	—	184.00
Other Bank Balances	—	986.69	—	490.85
Financial Liabilities				
Borrowings	—	—	—	—
Trade payables	—	1,367.47	—	1,197.91
Security Deposit and Earnest money	—	324.29	—	350.79
Other Liabilities	—	893.16	—	528.51

(b) Fair value hierarchy

Table below shows judgments and estimates made in determining the fair values of the financial instruments that are (a) recognized and measured at fair value and (b) measured at amortized cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the company has classified its financial instruments into the three levels prescribed under the accounting standard.

Financial assets and liabilities measured at fair value	31st March 2021		31st March 2020	
	Level 1	Level 3	Level 1	Level 3
Financial Assets at FVTPL				
Investments :				
Mutual Fund/ICD	—	—	0.48	—
Financial Liabilities				
If any item	—	—	—	—



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Financial assets and liabilities measured at amortised cost for which fair values are disclosed at 31st March, 2021	31st March 2021		31st March 2020	
	Level 1	Level 3	Level 1	Level 3
Financial Assets				
Investments:				
Preference Shares				
– Equity Component	—	—	—	—
– Debt Component	—	—	—	—
Mutual Fund/ICD	—	—	—	—
Other Investments	—	—	—	—
Loans	—	0.49	—	0.55
Deposits & receivable	—	1,507.23	—	1,545.00
Trade receivables	—	3,402.53	—	2,492.11
Cash & cash equivalents	—	256.04	—	184.00
Other Bank Balances	—	986.69	—	490.85
Financial Liabilities				
Borrowings	—	—	—	—
Trade payables	—	1,367.47	—	1,197.91
Security Deposit and Earnest money	—	324.29	—	350.79
Other Liabilities	—	893.16	—	528.51

A brief of each level is given below.

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes Mutual fund which is valued using closing Net Asset Value (NAV) as at the reporting date.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities, preference shares borrowings, security deposits and other liabilities taken.

(c) Valuation technique used in determining fair value

Valuation techniques used to value financial instruments include the use of quoted market prices (NAV) of instruments in respect of investment in Mutual Funds.

(d) Fair value measurements using significant unobservable inputs

At present there are no fair value measurements using significant unobservable inputs.

(e) Fair values of financial assets and liabilities measured at amortised cost

- The carrying amounts of trade receivables, short term deposits, cash and cash equivalents, trade payables are considered to be the same as their fair values, due to their short-term nature.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

- The Company considers that the Security Deposits does not include a significant financing component. The security deposits coincide with the company's performance and the contract requires amounts to be retained for reasons other than the provision of finance. The withholding of a specified percentage of each milestone payment is intended to protect the interest of the company, from the contractor failing to adequately complete its obligations under the contract. Accordingly, transaction cost of Security deposit is considered as fair value at initial recognition and subsequently measured at amortised cost.

Significant estimates : The fair value of financial instruments that are not traded in an active market is determined using valuation techniques. The Company uses its judgment to select a method and makes suitable assumptions at the end of each reporting period.

2. FINANCIAL RISK MANAGEMENT

Financial Risk Management Objectives and Policies

The Company's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations and to provide guarantees to support its operations. The Company's principal financial assets include loans, trade and other receivables, and cash and cash equivalents that is derived directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management is supported by a risk committee that advises, inter alia, on financial risks and the appropriate financial risk governance framework for the Company. The risk committee provides assurance to the Board of Directors that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Board of Directors reviews and agrees to policies for managing each of these risks, which are summarized below.

This note explains the sources of risk which the entity is exposed to and how the entity manages the risk and the impact of hedge accounting in the financial statements.

Risk	Exposure arising from	Measurement	Management
Credit Risk	Cash and Cash equivalents, trade receivables financial asset measured at amortised cost	Ageing analysis/ Credit rating	Department of Public enterprises (DPE) guidelines, diversification of bank deposits credit limits and other securities
Liquidity Risk	Borrowings and other liabilities	Periodic cash flows	Availability of committed credit lines and borrowing facilities
Market Risk-foreign exchange	Future commercial transactions, recognised financial assets and liabilities not denominated in INR	Cash flow forecast sensitivity analysis	Regular watch and review by senior management and audit committee.
Market Risk-interest rate	Cash and Cash equivalents, Bank deposits and mutual funds	Cash flow forecast sensitivity analysis	Department of public enterprises (DPE) guidelines, Regular watch and review by senior management and audit committee.

The Company risk management is carried out by the Board of Directors as per DPE guidelines issued by Government of India. The Board provides written principles for overall risk management as well as policies covering investment of excess liquidity.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

A. Credit Risk

Credit risk management

Receivables arise mainly out of sale of Coal. Sale of Coal is broadly categorized as sale through fuel supply agreements (FSAs) and e-auction.

Macro - economic information (such as regulatory changes) is incorporated as part of the fuel supply agreements (FSAs) and e-auction terms.

Fuel Supply Agreements (FSAs)

As contemplated in and in accordance with the terms of the New Coal Distribution Policy (NCDP), the company enters into legally enforceable FSAs with customers or with State Nominated Agencies that in turn enters into appropriate distribution arrangements with end customers. Our FSAs can be broadly categorized into:

- FSAs with customers in the power utilities sector, including State power utilities, private power utilities ("PPUs") and independent power producers ("IPPs");
- FSAs with customers in non-power industries (including captive power plants ("CPPs")); and
- FSAs with State Nominated Agencies.

E-Auction Scheme

The E-Auction scheme of coal has been introduced to provide access to coal for customers who were not able to source their coal requirement through the available institutional mechanisms under the NCDP for various reasons, for example, a less than full allocation of their normative requirement under NCDP, seasonality of their coal requirement and limited requirement of coal that does not warrant a long-term linkage. The quantity of coal to be offered under E-Auction is reviewed from time to time by the Ministry of Coal.

Provision For Expected Credit Loss : The Company provides for expected credit risk loss for doubtful/ credit impaired assets, by lifetime expected credit losses (Simplified approach).

Expected Credit losses for trade receivables under simplified approach

As on 31.03.2021

(Rs. in Crs.)

Ageing	Due for 2 months	Due for 6 months	Due for 1 year	Due for 2 years	Due for 3 years	Due for more than 3 years	Total
Gross Carrying Amount	1020.24	1150.88	654.94	812.77	116.48	458.30	4213.61
Expected Loss rate (%)	0.16	9.37	6.30	7.18	64.10	100.00*	19.25
Expected Credit Loss allowance – Doubtful debts	—	—	—	—	—	288.26	288.26
- Grade variance	1.59	107.80	41.28	58.39	74.67	239.09	522.82

As on 31.03.2022

(Rs. in Crs.)

Ageing	Due for 2 months	Due for 6 months	Due for 1 year	Due for 2 years	Due for 3 years	Due for more than 3 years	Total
Gross Carrying Amount	984.27	927.19	742.10	489.34	136.34	337.40	3616.64
Expected Loss rate (%)	6.77	21.29	17.51	53.02	100.00	92.18	31.09
Expected Credit Loss allowance – Doubtful debts	—	—	—	126.16	48.24	108.98	283.38
- Grade variance	66.60	197.36	129.95	133.30	111.90	202.04	841.15

* includes Provision against customers with advances





ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Reconciliation of loss allowance provision – Trade receivables

(Rs. in Crs.)

Particulars	Bad & Doubtful Debts	Quality Variance
Loss allowance on 01.04.2020	283.38	841.15
Change in loss allowance	4.88	(318.33)
Loss allowance on 31.03.2021	288.26	522.82

Significant estimates and judgments for Impairment of financial assets

The impairment provisions for financial assets disclosed above are based on assumptions about risk of default and expected loss rates. The Company uses judgment in making these assumptions and selecting the inputs to the impairment calculation, based on the Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

B. Liquidity Risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due. Due to the dynamic nature of the underlying businesses, Company treasury maintains flexibility in funding by maintaining availability under committed credit lines.

Management monitors forecasts of the Company's liquidity position (comprising the undrawn borrowing facilities) and cash and cash equivalents on the basis of expected cash flows. This is generally carried out at local level in accordance with practice and limits set by the Company. The bank borrowings of Central Coalfields Limited has been secured by creating charge against stock of coal, stores and spare parts and book debts within consortium of banks. The total working capital credit limit available to CCL is Rs. 55.00 Crore, of which fund based limit is Rs. 83.00 Crore. Further, Rs. 2000.00 Crore was set up as non-fund based limit outside consortium in order to facilitate import of HEMM. Coal India Limited is contingently liable to the extent such facility is actually utilized by the Subsidiary Companies.

C. Market Risk

(a) Foreign currency risk

Foreign currency risk arises from future commercial transactions and recognized assets or liabilities denominated in a currency that is not the Company's functional currency (INR). The Company is exposed to foreign exchange risk arising from foreign currency transactions. Foreign exchange risk in respect of foreign operation is considered to be insignificant. The Company also imports and risk is managed by regular follow up. Company has a policy which is implemented when foreign currency risk becomes significant.

(b) Cash flow and fair value interest rate risk

The Company's main interest rate risk arises from bank deposits. Change in interest rate exposes the Company to cash flow interest rate risk. Company policy is to maintain most of its deposits at fixed rate.

Company manages the risk using guidelines from Department of public enterprises (DPE), diversification of bank deposits credit limits and other securities.

Capital Management

The company being a government entity manages its capital as per the guidelines of Department of investment and public asset management under Ministry of Finance.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Capital Structure of the company is as follows :

Particulars	31.03.2021	31.03.2020
Equity Share capital	940.00	940.00
Long term debt	—	—

3. EMPLOYEE BENEFITS: RECOGNITION AND MEASUREMENT (Ind AS-19)

3.1 Defined Benefit Plans:

(a) Gratuity

The Company provides for gratuity, a post-employment defined benefit plan ("the Gratuity Scheme") covering the eligible employees. The Gratuity Scheme is fully funded through trust maintained with Life Insurance Corporation of India, wherein employer contribution is 2.01% of basic salary and Dearness allowances. Every employee who has rendered continuous service of more than 5 years or more is entitled to receive gratuity amount equal to 15 days salary for each completed years of service computed as (15 days/26 days in a month* last drawn salary and dearness allowance* completed years of service) subject to maximum of Rs. 0.20 crores at the time of separation from the company considering the provisions of the Payment of Gratuity Act 1972 as amended. The liability or asset recognised in the balance sheet in respect of the Gratuity Scheme is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated at each reporting date by actuary using the projected unit credit method. Re-measurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the year in which they occur, directly in other comprehensive income (OCI).

b) Post-Retirement Medical Benefit – Executive (CPRMSE)

Company has post-retirement medical benefit scheme known as Contributory Post Retirement Medicare Scheme for Executive of CIL and its Subsidiaries (CPRMSE), to provide medical care to the executives and their spouses in Company hospital/empaneled hospitals or outpatient/Domiciliary only in India subject to ceiling limit, on account of retirement on attaining the age of superannuation or are separated by the Company on medical ground or retirement under Voluntary Retirement Scheme under common coal cadre or Voluntary Retirement Scheme formulated and made applicable from time to time. Membership is not extended to the executives who resigns from the services of the CIL and its subsidiaries. The maximum amount reimbursable during the entire life for the retired executives and spouse taken together jointly or severally is Rs. 25 lakhs except for specified diseases with no upper limit. The Scheme is funded through trust maintained by the CIL at group level solely for this purpose, wherein employer contribution is 2% of basic salary and Dearness Allowance per month. The liability for the scheme is recognised based on actuarial valuation done at each reporting date.

3.2 Defined Contribution Plans

i) Provident Fund and Pension

Company pays fixed contribution towards Provident Fund and Pension Fund at pre-determined rates based on a fixed percentage of the eligible employee's salary i.e. 12% and 7% of Basic salary and Dearness Allowance towards Provident Fund and Pension Fund respectively to a separate trust named Coal Mines Provident Fund (CMPF). The contribution towards the fund during the period ended 31.03.2021 is Rs. 598.39 Crore (Rs. 436.31 Crore) has been recognized in the Statement of Profit & Loss (Note 28).

ii) Post-Retirement Medical Benefit – Non- Executive (CPRMSE-NE)

As a part of social security scheme under wage agreement, Company is providing Contributory Post-Retirement Medicare Scheme for non-executives (CPRMSE-NE), wherein fixed amount is being contributed by the company and charged to statement of profit and loss.





ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

iii) CIL Executive Defined Contribution Pension Scheme (NPS)

The company provides a post-employment contributory pension scheme to the executives of the Company known as “CIL Executive Defined Contribution Pension Scheme -2007” (NPS). NPS is being administered through separate trust at group level solely formed for the purpose. The obligation of the Company is to contribute to the trust to the extent of amount not exceeding 30% of basic pay and dearness allowance less employer’s contribution towards provident fund, gratuity, post-retirement medical benefits -Executive i.e. CPRMSE or any other retirement benefits. The current employer contribution of 6.99% of basic and Dearness Allowance is being charged to statement of profit and loss.

3.3 Other Long Term Employee Benefits

i) Leave encashment

The company provides benefit of total Earned Leave (EL) of 30 days and Half Paid Leave (HPL) of 20 days to the employees of the company, accrued and credited proportionately on half yearly basis on the first day of January and July of every year. During the service, 75% EL credited balance is one time encashable in each calendar year subject to ceiling of maximum 60 days EL encashment. Accumulated HPL is not permitted for encashment during the period of service. On superannuation, EL and HPL together is considered for encashment subject to the overall limit of 300 days without commutation of HPL. Therefore, the liabilities for earned leave are expected to be settled during the service as well as after the retirement of employee. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. The Scheme is fully funded through trust maintained with Life Insurance Corporation of India.

ii) Life Cover Scheme (LCS)

As a part of social security scheme under wage agreement, the Company has Life Cover Scheme under Deposit Linked Insurance Scheme, 1976 notified by the Ministry of Labour, Government of India, known as “Life Cover Scheme of Coal India Limited” (LCS). An amount of Rs. 1,25,000 is paid under the scheme w.e.f 01.10.2017. The liability under the scheme is borne by the Company as per actuarial valuation at each Balance Sheet date.

iii) Settlement Allowances

As a part of wage agreement, a lump sum amount of Rs. 12000/- is paid to all the non-executive cadre employees governed under NCWA on their superannuation on or after 31.10.2010 as settling-in allowance. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

iv) Group Personal Accident Insurance (GPAIS)

Company has taken group insurance scheme from United India Insurance Company Limited to cover the executives of the company against personal accident known as “Coal India Executives Group Personal Accident Insurance Scheme” (GPAIS). GPAIS covers all types of accident on 24 hour basis worldwide. Premium for the scheme is borne by the Company. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

v) Leave Travel Concession (LTC)

As a part of wage agreement, Non-executive employees are entitled to travel assistance for visiting their home town and for “Bharat Bhraman” once in a block of 4 years. A lump sum amount of Rs. 8000/- and Rs. 12000/- is paid for visiting Home town and “Bharat Bhraman”, respectively. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

vi) Compensation to Dependent on Mine Accident Benefits

As a part of social security scheme under wage agreement, the company provides the benefits admissible under The Employee’s Compensation Act, 1923. An amount of Rs. 15 lakhs is paid to the next of kin of



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

an employee in case of a fatal mine accident w.e.f 07.11.2019. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

Funding status of defined benefit plans, defined contribution plans and other long term employee benefits plans, which are valued on actuarial basis, are as under:

(i) Funded

- Gratuity
- Leave Encashment
- Medical Benefits
- Provident Fund
- Pension Schemes

(ii) Unfunded

- Life Cover Scheme
- Settlement Allowance
- Group Personal Accident Insurance
- Leave Travel Concession
- Compensation to dependent on Mine Accident Benefits

Total liability as on 31.03.2021 based on valuation made by the Actuary is Rs. 3,754.52 Crore, details of which are mentioned below:

(Rs. in Crs.)

Particulars	Opening Actuarial Liability as on 01.04.2020	Incremental Liability / Adjustment during the Year	Closing Actuarial Liability as on 31.03.2021
Gratuity	2,686.86	70.36	2,757.22
Earned Leave	454.59	59.73	514.32
Half Pay Leave	60.77	11.62	72.39
Life Cover Scheme	11.06	(0.60)	10.46
Settlement Allowance Executives	7.15	0.68	7.83
Settlement Allowance- Non-exe.	17.36	(0.83)	16.53
Group Personal Accident Insurance Scheme	0.15	(0.01)	0.14
Leave Travel Concession	44.71	(0.55)	44.16
Medical Benefits Executives	262.79	22.26	285.05
Medical Benefits Non-Executives	9.14	4.46	13.60
Compensation to dependents in case of mine accidental death	27.55	5.27	32.82
Total	3,582.13	172.39	3,754.52

3.4 Disclosure as per Actuary's Certificate

The disclosures as per actuary's certificate for employee benefits for Gratuity (funded) and Leave Encashment (funded) are given below :



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

ACTUARIAL VALUATION OF GRATUITY LIABILITY AS AT 31.03.2021 CERTIFICATES AS PER IND AS 19 (2015)

1.

(Rs. in Crs.)

Changes in Present Value of defined benefit obligations	As at 31.03.2021	As at 31.03.2020
Present Value of obligation at beginning of the period	2,686.86	2,459.04
Current Service Cost	135.05	125.56
Interest Cost	173.44	149.35
Plan amendments : vested portion at end of period (past service)	—	—
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(55.26)	185.12
Actuarial (Gain) / Loss on obligations due to unexpected experience	127.00	160.16
Benefits Paid	309.87	392.37
Acquisition Adjustment	—	—
Disposal/ Transfer of obligation	—	—
Curtailment cost	—	—
Settlement cost	—	—
Other(Unsettled liability at the end of the valuation date)	—	—
Present Value of obligation at end of the period	2,757.22	2,686.86

2.

(Rs. in Crs.)

Changes in Fair Value of Plan Assets	As at 31.03.2021	As at 31.03.2020
Fair Value of Plan Asset at beginning of the period	1,739.91	1,859.75
Interest Income	119.18	122.74
Employer Contributions	51.04	130.90
Participant Contributions	—	—
Acquisition / Business combination	—	—
Settlement Cost	—	—
Benefits Paid	309.87	392.37
The effect of Asset Celling	—	—
The Effect of change in Foreign Exchange Rate	—	—
Administrative Expenses and Insurance Premium	—	—
Return on Plan Assets excluding Interest income	(14.15)	18.89
Fair Value of Plan Asset as at end of the period	1,586.11	1,739.91



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

3.

(Rs. in Crs.)

Statement showing Reconciliation to Balance Sheet	As at 31.03.2021	As at 31.03.2020
Funded Status	(1,171.11)	(946.95)
Unrecognized Past Service Cost	—	—
Unrecognized actuarial (gain) / loss at end of the period	—	—
Post measurement Date Employer contribution (Expected)	—	—
Unfunded Accrued / Prepaid Pension Cost	—	—
Fund Asset	1,586.11	1,739.91
Fund Liability	2,757.22	2,686.86

4.

(Rs. in Crs.)

Statement showing Plan Assumptions	As at 31.03.2021	As at 31.03.2020
Discount Rate	6.85%	6.60%
Expected Return on Plan Asset	6.85%	6.60%
Rate of Compensation Increase (Salary Inflation)	Executives-9.00% Non-Executives- 6.25%	Executives-9.00% Non-Executives- 6.25%
Pension Increase Rate	N/A	N/A
Average Expected Future Service (Remaining working Life)	13,13	13,14
Mortality Table	IALM 2006-2008 ULTIMATE	
Superannuation at Age-Male	60	60
Superannuation at Age- Female	60	60
Early Retirement and Disablement	0.30% p.a.	0.30% p.a.

5.

(Rs. in Crs.)

Expense Recognized in Statement of Profit / Loss	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Current Service Cost	135.05	125.57
Past service cost (vested)	—	—
Past service cost (Non-Vested)	—	—
Net Interest Cost	54.25	26.60
Cost (Loss/ gain)on settlement	—	—
Cost (Loss/ gain)on curtailment	—	—
Actuarial Gain/ loss Applicable only for last year	—	—
Employees Expected contribution	—	—
Net Effect of change in Foreign Exchange Rates	—	—
Benefit Cost (Expense recognized in Statement of Profit/Loss)	189.30	152.17



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

6.

(Rs. in Crs.)

Other Comprehensive Income	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(55.25)	185.12
Actuarial (Gain) / Loss on obligations due to change in Demographic assumption	—	—
Actuarial (Gain) / Loss on obligations due to unexpected experience	127.00	160.16
Actuarial (Gain)/ Loss on obligations due to other reasons	—	—
Total Actuarial (Gain) / Loss	71.75	345.28
Return on Plan Asset, excluding Interest Income	(14.15)	18.90
The effect of Asset celling	—	—
Balance at the end of the period	85.90	326.38
Net (Income) / Expense for the period recognized in Other Comprehensive Income	85.90	326.38

7.

(Rs. in Crs.)

Allocation of Plan Asset at end of Measurement Period	As at 31.03.2021	As at 31.03.2020
Cash & Cash Equivalents	—	—
Investment Funds	—	—
Derivatives	—	—
Asset-Backed Securities	—	—
Structured Debt	—	—
Real Estates	—	—
Special Deposit Scheme	—	—
State Government Securities	—	—
Government of India Assets	—	—
Corporate Bonds	—	—
Debt Securities	—	—
Annuity Contracts/Insurance Fund	—	—
Other	—	—
Total	—	—



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

8.

(Rs. in Crs.)

Total Allocation in % of Plan Asset at end of Measurement Period	As at 31.03.2021	As at 31.03.2020
Cash & Cash Equivalents	—	—
Investment Funds	—	—
Derivatives	—	—
Asset-Backed Securities	—	—
Structured Debt	—	—
Real Estates	—	—
Special Deposit Scheme	—	—
State Government Securities	—	—
Government of India Assets	—	—
Corporate Bonds	—	—
Debt Securities	—	—
Annuity Contracts/Insurance Fund	—	—
Other	—	—
Total	—	—

9.

(Rs. in Crs.)

Mortality Table	
Age	Mortality (Per Annum)
25	0.000931
30	0.000977
35	0.001202
40	0.001680
45	0.002579
50	0.004436
55	0.007513
60	0.011162
65	0.015932
70	0.024058

10.

(Rs. in Crs.)

Sensitivity Analysis of Gratuity Liability	31.03.2021		31.03.2020	
	Increase	Decrease	Increase	Decrease
Discount Rate (-/+ 0.5%)	2652.17	2869.61	2586.62	2793.88
%Change Compared to base due to sensitivity	-3.810%	4.076%	-3.731%	3.983%
Salary Growth (-/+ 0.5%)	2801.67	2709.16	2734.04	2634.98
%Change Compared to base due to sensitivity	1.612%	-1.743%	1.756%	-1.931%

ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Sensitivity Analysis of Gratuity Liability	31.03.2021		31.03.2020	
	Increase	Decrease	Increase	Decrease
Attrition Rate (-/+ 0.5%)	2757.44	2757.00	2689.36	2684.36
%Change Compared to base due to sensitivity	0.008%	-0.008%	0.093%	-0.093%
Mortality Rate (-/+ 10%)	2758.79	2755.62	2703.74	2669.99
%Change Compared to base due to sensitivity	0.057%	-0.058%	0.628%	-0.628%

11.

(Rs. in Crs.)

Statement Showing Cash Flow Information	(Rs. in Crore)
Next Year Total (Expected)	2,772.66
Minimum Funding Requirements	1,348.57
Company's Discretion	—

12.

(Rs. in Crs.)

Benefit Information Estimated Future payments (past Service) as on 31.03.2021	
Year	(Rs. in Crore)
1	261.85
2	237.61
3	237.67
4	244.46
5	272.88
6 to 10	1,597.94
More than 10 years	2,538.55
Total Undiscounted Payments Past and Future Service	—
Total Undiscounted Payments related to Past Service	5,390.96
Less Discount for Interest	2,633.74
Projected Benefit Obligation	2,757.22

13.

(Rs. in Crs.)

Statement showing Outlook Next Year Components of net periodic benefit cost	(Rs. in Crore)
Current service Cost(Employer portion Only) Next period	137.09
Interest Cost next period	179.90
Expected Return on Plan Asset	188.87
Unrecognized past service Cost	—
Unrecognized actuarial/gain loss at the end of the period	—
Settlement Cost	—
Curtailment Cost	—
Other(Actuarial Gain/loss)	—
Benefit Cost	128.12



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

14.

(Rs. in Crs.)

Statement Showing expected return on Plan Asset at end Measurement	As at 31.03.2021	As at 31.03.2020
Current liability	253.32	276.61
Non-Current Liability	2,503.90	2,410.25
Net Liability	2,757.22	2,686.86

ACTUARIAL VALUATION OF LEAVE ENCASHMENT BENEFIT (EL/HPL) AS AT 31.03.2021 CERTIFICATES AS PER IND AS 19 (2015)

1.

(Rs. in Crs.)

Changes in Present Value of defined benefit obligations	As at 31.03.2021	As at 31.03.2020
Present Value of obligation at beginning of the year	515.36	479.60
Current Service Cost	78.30	69.38
Interest Cost	29.95	22.70
Participant Contribution	—	—
Plan Amendments: Vested portion at end of period(Past Service)	—	—
Plan Amendments: Non-Vested portion at end of period(Past Service)	—	—
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(14.79)	43.28
Actuarial gain/loss on obligations due to Change in Demographic assumption	—	—
Actuarial (Gain) / Loss on obligations due to unexpected experience	134.17	171.68
Actuarial gain/loss on obligations due to Other reason	—	—
The effect of change in Foreign exchange rates	—	—
Benefits Paid	156.28	271.28
Acquisition Adjustment	—	—
Disposal/Transfer of Obligation	—	—
Curtailment cost	—	—
Settlement Cost	—	—
Other(Unsettled Liability at the end of the valuation date)	—	—
Present Value of obligation at end of the period	586.71	515.36

2.

(Rs. in Crs.)

Changes in Fair Value of Plan Assets	As at 31.03.2021	As at 31.03.2020
Fair Value of Plan Asset at beginning of the year	206.14	265.92
Interest Income	14.12	17.55
Employer Contributions	68.50	200.00
Participant Contributions	—	—
Acquisition/Business Combination	—	—
Settlement Cost	—	—
Benefits Paid	156.28	(271.28)



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Changes in Fair Value of Plan Assets	As at 31.03.2021	As at 31.03.2020
The effect of asset ceiling	—	—
The effect of change in Foreign Exchange Rates	—	—
Administrative Expenses and Insurance Premium	—	—
Return on Plan Assets excluding Interest income	(4.42)	(6.05)
Fair Value of Plan Asset as at end of the period	128.06	206.14

3.

(Rs. in Crs.)

Statement showing reconciliation to Balance Sheet	As at 31.03.2021	As at 31.03.2020
Funded Status	(458.65)	(309.22)
Unrecognized Past Service Cost	—	—
Unrecognized Actuarial gain/loss at end of the period	—	—
Post Measurement Date Employer Contribution(Expected)	—	—
Unfunded Accrued/Prepaid Pension cost	—	—
Fund Asset	128.06	206.14
Fund Liability	586.71	515.36

4.

(Rs. in Crs.)

Statement showing Plan Assumptions	As at 31.03.2021	As at 31.03.2020
Discount Rate	6.85%	6.60%
Expected Return on Plan Asset	6.85%	6.60%
Rate of Compensation Increase (Salary Inflation)	Executives-9.00% Non-Executives- 6.25%	Executives-9.00% Non-Executives- 6.25%
Pension Increase Rate	N/A	N/A
Average Expected Future service (Remaining Working Life)	13,13	13,14
Average Duration of Liabilities	13,13	13,14
Mortality Table	IALM 2012-2014 ULTIMATE	IALM 2006-2008 ULTIMATE
Superannuation at Age- Male	60	60
Superannuation at Age - Female	60	60
Early Retirement and Disablement	0.30% p.a.	0.30% p.a.
Voluntary Retirement	Ignored	Ignored

5.

(Rs. in Crs.)

Expense Recognized in Statement of Profit / Loss	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Current Service Cost	78.30	69.38
Past Service Cost(vested)	—	—
Past Service Cost(Non-Vested)	—	—
Net Interest Cost	15.83	5.15



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Expense Recognized in Statement of Profit / Loss	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Cost(Loss)/(Gain) on settlement	—	—
Cost(Loss)/(Gain) on curtailment	—	—
Net Actuarial Gain / Loss	123.80	221.01
Employee Expected Contribution	—	—
Net Effect of changes in Foreign Exchange Rates	—	—
Benefit Cost (Expense recognised in Statement of Profit/Loss)	217.93	295.54

6.

(Rs. in Crs.)

Other Comprehensive Income	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Actuarial gain/loss on obligations due to Change in Financial Assumption	—	—
Actuarial gain/loss on obligations due to Change in Demographic assumption	—	—
Actuarial gain/loss on obligations due to Unexpected Experience	—	—
Actuarial gain/loss on obligations due to Other reason	—	—
Total Actuarial (gain)/losses	—	—
Return on Plan Asset, Excluding Interest Income	—	—
The effect of asset ceiling	—	—
Balance at the end of the Period	—	—
Net(Income)/Expense for the Period Recognized in OCI	—	—

7.

(Rs. in Crs.)

Mortality Table	
Age	Mortality (Per Annum)
25	0.000931
30	0.000977
35	0.001202
40	0.00168
45	0.002579
50	0.004436
55	0.007513
60	0.011162
65	0.015932
70	0.024058



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

8

(Rs. in Crs.)

Sensitivity Analysis of Leave Encashment Liability	31.03.2021		31.03.2020	
	Increase	Decrease	Increase	Decrease
Discount Rate (-/+ 0.5%)	558.46	617.53	491.74	541.03
%Change Compared to base due to sensitivity	-4.815%	5.253%	-4.582%	4.982%
Salary Growth (-/+ 0.5%)	617.14	558.54	540.63	491.89
%Change Compared to base due to sensitivity	5.187%	-4.801%	4.903%	-4.554%
Attrition Rate (-/+ 0.5%)	586.66	586.76	516.87	513.85
%Change Compared to base due to sensitivity	-0.008%	0.008%	0.293%	-0.293%
Mortality Rate (-/+ 10%)	586.55	586.87	518.49	512.23
%Change Compared to base due to sensitivity	-0.027%	0.027%	0.608%	-0.608%

9.

Benefit Information Estimated Future payments(Past Service)	(Rs. in Crore)
Year	
1	44.81
2	41.77
3	42.02
4	49.45
5	51.81
6 to 10	274.37
More than 10 years	916.29
Total Undiscounted Payments Past and Future Service	0.00
Total Undiscounted Payments related to Past Service	1,420.53
Less Discount for Interest	833.82
Projected Benefit Obligation	586.71

10.

(Rs. in Crs.)

Bifurcation of Net Liability	As at 31.03.2021	As at 31.03.2020
Current liability	43.35	39.38
Non-Current Liability	543.36	475.98
Net Liability	586.71	515.36



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

4. Unrecognized items

(a) Contingent Liabilities

I. Claims against the company not acknowledged as debt

(Rs. in Crs.)

Sl. No.	Particulars	Central Government Dept./Agencies	State Government Dept./ Agencies and other local authorities	Central Public Sector Enterprises	Others	Total
1	Opening as on 01.04.2020	869.91	17,274.57	-	496.73	18,641.21
2	Addition during the year	1,031.95	96.11	-	13.18	1,141.24
	Claims settled during the year					
	a. From opening balance	-	(79.44)	-	(42.17)	(121.61)
	b. Out of addition during the year	-	-	-	-	-
3	c. Total claims settled during the year (a+b)	-	(79.44)	-	(42.17)	(121.61)
4	Closing as on 31.03.2021	1,901.86	17,291.24	-	467.74	19,660.84

Demand for alleged, Production of coal beyond Environmental Clearance Limit

Following the judgment of the Hon'ble Supreme Court of India in the case of Common Cause vs. UOI and Others (W.P. (C) No. 114 of 2014), certain District Mining Officers of Jharkhand, issued demand notices in respect of 42 projects, alleging that production in those projects exceeded the available Environmental Clearances limits.

The Company has filed revision petition against the above demands, before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR, Act. The Revisional Authority Ministry of Coal Govt. of India in their interim order dated 16.01.2018 has admitted the revision application and stayed the execution of the demand order of Rs.13,568.50 Crores (P.Y. Rs. 13,568.50 Crore) till further order.

The demand notice was issued in favour of CCL in respect of 42 projects and the issue is being dealt by Environmental Department of CCL, hence, the same is kept under contingent liability of CCL at HQ.

Nature wise details of contingent liability is shown below:

(Rs. in Crs.)

Sl. No.	Particulars	31.03.2021	31.03.2020
1	Central Government :		
	Income tax	809.88	809.04
	Central Excise	134.81	45.56
	Clean Energy Cess	954.78	13.12
	Service Tax	2.39	2.19
	Others	-	-
	Sub - Total	1,901.86	869.91
2	State Government and Local Authorities:		
	Royalty	1,715.72	1,668.28
	Environment Clearance	13,568.50	13,568.50
	Sales Tax / VAT	1,463.21	1,523.40
	Entry Tax	25.00	25.00
	Electricity Duty	97.33	98.80
	MADA	421.48	390.59
	Sub - Total	17,291.24	17,274.57



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Sl. No.	Particulars	31.03.2021	31.03.2020
3	Central Public sector Enterprises		
	Arbitration Proceedings	—	—
	Suit against the company under litigation	—	—
	Others	—	—
	Sub- Total	—	—
	Others		
4	Miscellaneous	467.74	496.73
	Sub- Total	467.74	496.73
	TOTAL	19,660.84	18,641.21

Due to Covid -19 restrictions imposed by state govt, legal opinion on contingent liability could not be obtained.

II. Guarantee

Bank guarantee issued as on 31.03.2021: Rs. 433.11 Crores (P.Y Rs. 427.70 Crores).

III. Letter of Credit

Outstanding Letters of Credit as on 31.03.2021: Rs. 6.42 Crores (P.Y Rs. 29.20 Crores).

(b) Commitments

Estimated amount of contracts remaining to be executed on capital account and not provided for as on 31.03.2021: Rs. 822.48 Crores (P.Y Rs. 946.02 Crores).

Other Commitment as on 31.03.2021: Rs. 7,890.00 Crores (P.Y Rs. 8,773.98 Crores).

5. Group Information

Name	Principal activities	Country of Incorporation	% Equity Interest	
			31st March, 2021	31st March, 2020
<i>Coal India Limited (Holding Company)</i>	Mining & Production of Coal	India	100 %	100 %
<i>Jharkhand Central Railway Ltd. (Subsidiary Company)</i>	Development of Railway Infrastructure in Jharkhand	India	73.67 %	58.08 %

Additional Information, as required under Schedule III to the Companies Act, 2013, of enterprises consolidated as Subsidiary / Associates / Joint Ventures.

Name of Enterprises	Net Assets i.e. Total Assets minus Total Liabilities		Share in profit or loss		Share in Other Comprehensive Income	
	As % of consolidated net assets	Amount (Rs. In Crore)	As % of consolidated Profit or Loss	Amount (Rs. In Crore)	As % of consolidated Other Comprehensive Income	Amount (Rs. In Crore)
Central Coalfields Limited	99.11	7,483.90	99.92	1,221.28	100.00	(64.28)
Jharkhand Central Railway Limited	1.20	90.86	0.11	1.29	—	—
Less:- Minority Interests in all subsidiaries	0.32	23.92	0.03	0.34	—	—
Total	100.00	7,550.84	100.00	1,222.23	100.00	(64.28)



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

6. Other Information

(a) Provisions

The position and movement of various provisions as per Ind AS-37 except those relating to employee benefits which are valued actuarially, as on 31.03.2021 are given below:

(Rs. in Crs.)

Provisions	Opening Balance as on 01.04.2020	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2021
Note 3:- Property, Plant and Equipments :					
Impairment of Assets :	57.24	6.25	—	—	63.49
Note 4:- Capital Work in Progress :					
Against CWIP :	13.86	3.48	(1.80)	—	15.54
Note 5:- Exploration And Evaluation Assets :					
Provision and Impairment :	0.67	0.44	—	—	1.11
Note 8:- Loans :					
Other Loans :	—	—	—	—	—
Note 9:- Other Financial Assets:					
Other Deposits and Receivables	—	—	—	—	—
Security Deposit for utilities	—	—	—	—	—
Current Account with Subsidiaries	—	—	—	—	—
Claims & other receivables	9.30	6.96	(0.46)	—	15.80
Note 10 :- Other Non-Current Assets					
Capital Advance	0.09	0.07	—	—	0.16
Note 11:- Other Current Assets					
Advances for Revenue	0.54	—	(0.01)	—	0.53
Advance payment of statutory dues Other	0.89	—	—	—	0.89
Advances and Deposits	20.27	1.01	(2.16)	—	19.12
Note 13:- Trade Receivables :					
Provision for bad & doubtful debts:	283.38	4.88	—	—	288.26
Note 21 :- Non-Current & Current Provision :					
Ex- Gratia	236.72	244.13	(236.72)	—	244.13
Performance Related Pay	196.52	62.86	(127.48)	—	131.90
Provision for National Coal Wage Agreement X	—	—	—	—	—
Provision for Executive Pay Revision	—	—	—	—	—
Others	—	—	—	—	—
Site Restoration/Mine Closure	1,085.00	—	(239.74)	78.91	924.17

(b) Segment Reporting

The company is primarily engaged in a single segment business of production and sale of Coal. The income from interest and other income is less than 10% of the total revenue; hence no separate segment is recognized for the same.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

(c) Earnings per share

Sl. No.	Particulars	For the year ended 31.03.2021	For the year ended 31.03.2020
(i)	Net profit after tax attributable to Equity Share Holders	1,222.57	1,847.75
(ii)	Weighted Average no. of Equity Shares Outstanding	94 Lakhs	94 Lakhs
(iii)	Basic and Diluted Earnings per Share in Rupees (Face value Rs.1000/- per share)	1,299.59	1,965.69

(d) Related Party Disclosures

Post-Employment Benefit Fund:

- i. Group Gratuity Cash Accumulation Plan with LIC.
- ii. New Group Gratuity Cash Accumulation Plan with LIC (for employees joining after 01.04.2014).
- iii. New Group Leave Encashment Scheme with LIC.
- iv. Coal Mines Provident Fund (CMPF).
- v. Contributory Post-Retirement Medical Scheme for Executive Trust
- vi. CIL Executive Defined Contribution Pension Scheme-2007

A. List of Related Parties

(i) Holding Company

Coal India Limited

(ii) Sister Companies

1. Eastern Coalfields Limited (ECL)
2. Bharat Coking Coal Limited (BCCL)
3. Western Coalfields Limited (WCL)
4. South Eastern Coalfields Limited (SECL)
5. Northern Coalfields Limited (NCL)
6. Mahanadi Coalfields Limited (MCL)
7. Central Mine Planning and Design Institute Limited (CMPDIL)

(iii) Subsidiary Company

Jharkhand Central Railway Limited (JCRL)

(Rs. in Crs.)

Name of Related Parties	Loan to Related Parties	Loan from Related Parties	Apex Charges	Rehabilitation Charges	Lease Rent Income	Interest on Funds parked	IICM charges	Other / Investment	Current Account Balances (payable/receivable)	Out-standing Balances (payable/receivable)
Coal India Limited (CIL)	—	—	73.86	39.20	—	—	—	—	(139.80)	—
Central Mine Planning and Design Institute Limited (CMPDIL)	—	—	—	—	—	—	—	134.49	—	58.67*
IICM Charges	—	—	—	—	—	—	2.47	—	—	0.82
Jharkhand Central Railway Limited (JCRL)	—	—	—	—	—	—	—	32.63	—	—

*Outstanding Balance payable to CMPDIL amounting to Rs. 58.67 Cr is excluding GST as original bill has not yet been received. Amount including GST will come to Rs. 69.12 Cr.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

(iv) Key Managerial Personnel

Name	Designation	W.e.f
Shri Polavarapu Mallikharjuna Prasad	Chairman-cum-Managing Director	01.09.2020
Shri Virendra Kumar Srivastava	Director (Technical/Operations)	15.05.2018
Shri Bhola Singh	Director (Technical/P&P)	15.01.2019
Shri Niranjan Kumar Agarwala	Director (Finance)	18.07.2019
Shri Vinay Ranjan	Director (Personnel)	24.01.2020
Shri Mukesh Choudhary Director, Ministry of Coal	Government Director	05.06.2020
Shri Binay Dayal	Government Director	11.02.2021
Shri Subhau Kashyap	Independent Director	13.12.2018
Mrs. Jajula Gowri	Independent Director	10.07.2019
Shri Harbans Singh	Independent Director	10.07.2019
Shri Shiv Arora	Independent Director	10.07.2019
Shri Ravi Prakash	Company Secretary	13.07.2017

Remuneration of Key Managerial Personnel

(Rs. in Crs.)

Sl. No.	Payment to CMD, Whole Time Directors and Company Secretary	For the year ended 31.03.2021	For the year ended 31.03.2020
i)	Short Term Employee Benefits		
	Gross Salary	3.36	2.46
	Medical Benefits	0.01	0.05
	Perquisites and other benefits	—	—
ii)	Post-Employment Benefits		
	Contribution to P.F. & other fund	0.16	0.16
	Actuarial valuation of Gratuity	0.49	0.58
	Actuarial valuation Leave Encashment	0.81	0.70
	Contribution to NPS	0.09	0.54
iii)	Termination / Retirement Benefits	0.00	0.37
	TOTAL	4.92	4.86

Note:

Besides above, whole time Directors have been allowed to use company cars for private journey upto a ceiling of 1000 KMs on payment of Rs.2000 per month as per service conditions.

Payment to Independent Directors

(Rs. in Crs.)

Sl. No.	Payment to Independent Directors	For the year ended 31.03.2021	For the year ended 31.03.2020
i)	Sitting Fees	0.29	0.20



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

Balances Outstanding with Key Managerial Personnel.

(Rs. in Crs.)

Sl. No.	Particulars	As on 31.03.2021	As on 31.03.2020
i)	Amount Payable	—	—
ii)	Amount Receivable	—	—

Name of the Entity	Transactions	As at 31.03.2021	As at 31.03.2020
NTPC	Sale of Coal (during the Year)	4,155.16	2,854.07
	Outstanding Balance	316.35	635.68

e) Entities under the control of the same government

The Company is a 100% subsidiary of Coal India Limited, a Central Public Sector Undertaking (CPSU) controlled by Central Government by holding majority of shares (Note 16). Thus the Govt. of India has significant influence over the company. Pursuant to Paragraph 25 and 26 of Ind AS 24, entities over which the same government has control or joint control of, or significant influence, then the reporting entity and other entities shall be regarded as related parties. Transactions with these parties are carried out at market terms at arm length basis. The Company has applied the exemption available for government related entities and has made limited disclosures in the financial statements.

(Rs. in Crs.)

Name of the Entity	Transactions	As at 31.03.2021	As at 31.03.2020
NTPC	Sale of Coal (during the Year)	4,155.16	2,854.07
	Outstanding Balance	316.35	635.68

f) Recent Accounting Pronouncements

Keeping in view the changing scenario of business, due to the pandemic COVID-19, the following amendments have been notified by Ministry of Corporate Affairs vide Notification dated 24th July 2020 essentially most of them tried to cover situations which have arisen due to COVID-19 and better financial reporting:-

i) Ind AS 103- Business Combinations

Notification brought out changes in definition of Business Combination and defined “Business” in more details, an optional test to identify concentration of fair value, element of business and Assessing whether an acquired process is substantive.

As there is no Business Combination, no impact of the above in the financial Statement.

ii) Amendment to Ind AS 107 & 109 – Financial Instruments and Disclosure

Disclosure for uncertainty arising from interest rate benchmark reform and Temporary exceptions from applying specific hedge accounting requirements.

There is no exposure to hedge accounting hence no impact of the above in the Financial Statement.

iii) Amendment to Ind AS 116- Leases

A clarification has been provided on accounting Rent concession granted due to Pandemic COVID-19. It has been clarified that such concession will be treated as a lease modification or not.

As no rent concession was granted, there is no impact of the above in the Financial Statement.



ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2021 (CONSOLIDATED)

iv) Amendments to Ind AS 1 and Ind AS 8 – Presentation of Financial Statements and Accounting Policies, Change in Accounting Estimates and Errors.

A new definition of material has been introduced by this amendment, this is more refined and provides more clarity. Materiality has been defined as:

“Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decision that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.”

Financial Statement has been prepared incorporating amendments of Ind AS 1 and Ind AS 8 mentioned above with due care to materiality policy of the company.

v) Amendment to Ind AS 10- Events after reporting Period

A paragraph 21 of the Ind AS 10 have been substituted, in the amendments any non-adjusting events that could reasonably be expected to influence decisions that the primary users of general purpose Financial Statement make on the basis of those financial statements which provide financial information about a specific reporting entity have been added. Also, nature and estimates of the financial effect is required to be disclosed.

There is no non-adjusting event has accrued during the period that may influence the decision of the primary users of general purpose of financial statements.

vi) Amendments to Ind AS 34 – Interim Financial Reporting

Consequential of the above amendments have been notified. There is no impact of the above in the Financial Statement.

vii) Ind AS-37 – Provisions, Contingent Liabilities and Contingent Assets

Consequential of the above amendments have been notified, and paragraph below on accounting of restructuring plans have been substituted as :-

A Management or Board decision to restructure taken before the end of the reporting period does not give rise to a constructive obligation at the end of the reporting period unless the entity has, before the end of the reporting period:

- a) started to implement the restructuring plan; or
- b) announced the main features of the restructuring plan to those affected by it in a sufficiently specific manner to raise a valid expectation in them that the entity will carry out the restructuring.

There is no such decision of restructuring taken by the board, hence there is no impact of the above in the Financial Statements.

g) Goods procured by Coal India Ltd. on behalf of Subsidiaries

As per existing practice, goods purchased by Coal India Ltd. on behalf of subsidiary companies are accounted for in the books of respective subsidiaries directly.

h) Insurance and escalation claims

Insurance and escalation claims are accounted for on the basis of admission/final settlement.

i) Provisions made in the Accounts

Provisions made in the accounts against slow moving/non-moving/obsolete stores, claims receivable, advances, doubtful debts etc. are considered adequate to cover possible losses.

j) Current Assets, Loans and Advances etc.

In the opinion of the Management, assets other than fixed assets and non-current investments have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated.